Weekly Crude Brief 04-09-2026

From Extreme Backwardation → Rapid Normalization

Executive Summary

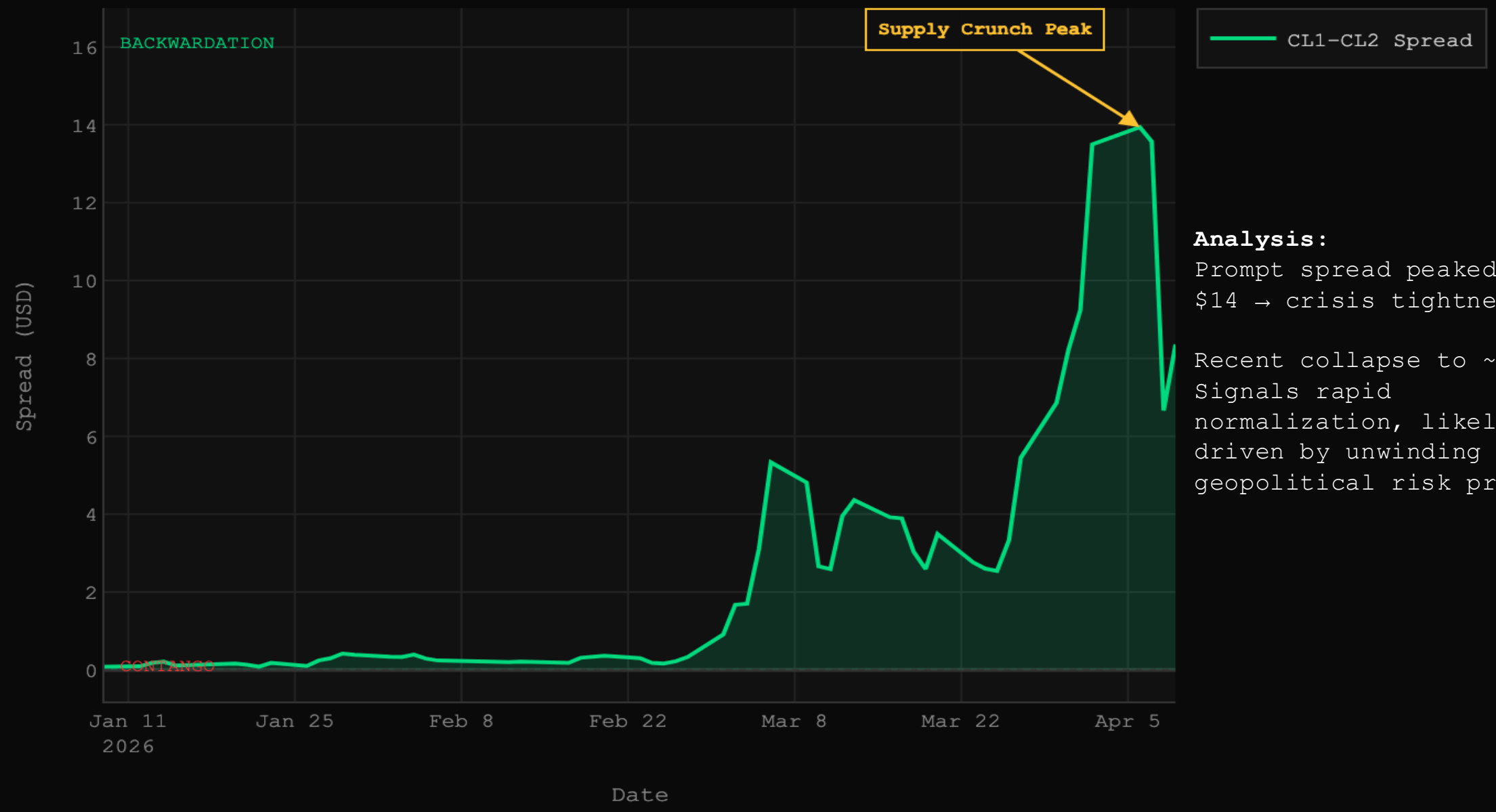
Market View:
TRANSITION (HIGH RISK AND VARIANCE) / LOW CONVICTION

Key Drivers:
- Rapid spread compression (-$5+)
- Geopolitical de-escalation reducing near-term risk premium
- Strong but stabilizing demand (cracks)

Interpretation:
Market temporarily exiting crisis-tightness regime → risk premium is actively unwinding
Momentum is currently dominating level.

Positioning:
Reduce long exposure and remain patient. Trade idea further explored in trade slide
Edge currently lies in regime identification, not directional conviction.

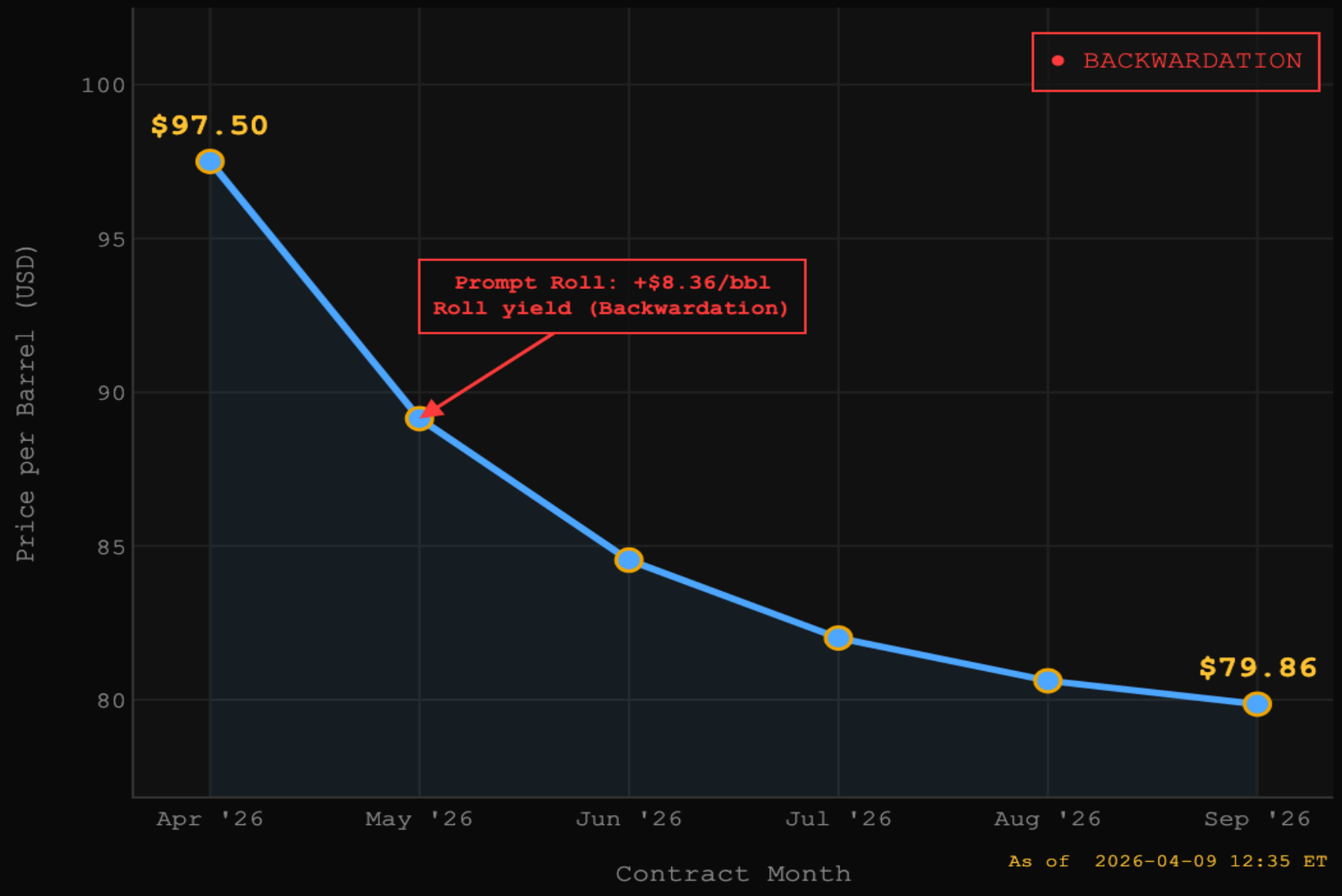
WTI PROMPT SPREAD · CL1 – CL2



Analysis:
Prompt spread peaked above $14 → crisis tightness

Recent collapse to ~$8: Signals rapid normalization, likely driven by unwinding of geopolitical risk premium

WTI FUTURES STRIP · 6-Month Curve · BACKWARDATION



Analysis:
Backwardation remains elevated but weakening

- Front-month premium compressing
- Carry still positive, but declining

Curve shifting from structural tightness → normalization phase

3-2-1 CRACK SPREAD · Refinery Margin Indicator

Analysis:
Crack spreads remain elevated (~$38)

- Demand still strong
- But margins pulling back from peak

Demand supportive, not driving price anymore

Model Evolution

Model Improvements

Initial limitations:

- Over-reliance on spread level
- Ignored regime instability
- No event-driven adjustment
- EIA data misses hide de-escalation signal

Enhancements:

- Regime classification (Tight → Crisis → Unwind)
- Momentum-based signals (spread change)
- Extreme dislocation threshold (> $10)
- Reversal detection logic
- Event override (geopolitics)
- Demand confirmation via crack spreads and fixed EIA data miss issue

Transitioned from static → regime-aware system

Trade View

Preferred approach:
→ Stay neutral until confirmation

Bullish scenario (re-entry) requires:
- Spread stabilizes or re-expands
- Price holds key support (~$90)
- Renewed geopolitical risk signals

Bearish continuation scenario requires:
- Continued spread compression
- Loss of backwardation structure (< ~$3)
- No re-escalation in geopolitical risk

Conclusion:
This is a transition regime not a trend environment.
This is a regime transition not an opportunity for directional conviction, but for disciplined timing.